

### IRCTC reported a strong set of numbers in Q3FY22 with revenue largely in-line with our estimates and EBITDA margins a strong beat on our estimates

- Revenue came in at INR 5,402 Mn, +33% qoq / +141% yoy and largely in-line with our estimate of INR 5,653 Mn
- EBITDA came in at INR 2,791.8 Mn, +32% qoq / +195% yoy and 11% above our est.
- EBITDA margin stood at 51.7% vs 52.2% / 42.2% in Q2FY22 / Q3FY21 respectively and was a big beat on our estimate of 44.6%.
- PAT stood at INR 2,088.1 Mn, +32% qoq / +167% yoy and +4% above our est.
- EPS stood at INR 2.6 in Q3FY22 vs 2 / 0.98 in Q2FY22 / Q3FY21
- Declared a dividend of INR 2 per share (Record Date - 18th February 2022)

### Segmental Contribution

#### Segmental Revenue was led by

- Internet Ticketing revenue at INR 3,129 Mn, +18% QoQ / +119% YoY | Internet Ticketing EBIT stood at INR 2,652 Mn – translating into EBIT margin of 84.8% in Q3FY22 vs 83.1% / 76.3% in Q2FY22 / Q3FY21
- Catering revenue at INR 1,047 Mn, +47% QoQ / +114% YoY | EBIT in Catering stood at INR 57 Mn vs loss of INR (1.5) Mn QoQ / INR (79.4) Mn YoY
- Rail Neer revenue at INR 499 Mn, +21% QoQ / +195% YoY | EBIT in Rail Neer stood at INR 51 Mn +81% QoQ / vs loss of INR (20.4) Mn YoY
- Tourism Revenue was reported at INR 683 Mn, +152% QoQ & +341% YoY

### Financial Summary

| Y/E Mar (Rs mn)     | FY20   | FY21E | FY22E  | FY23E  | FY23E  |
|---------------------|--------|-------|--------|--------|--------|
| Net sales           | 22,755 | 7,831 | 15,693 | 29,493 | 34,453 |
| EBITDA              | 7,134  | 1,915 | 8,267  | 13,056 | 14,803 |
| EBITDA Margin (%)   | 31%    | 24%   | 53%    | 44%    | 43%    |
| EBIT                | 6,735  | 1,452 | 7,821  | 12,592 | 14,252 |
| EBIT Margin (%)     | 30%    | 19%   | 50%    | 43%    | 41%    |
| Adjusted Net Profit | 5,275  | 1,517 | 6,245  | 9,903  | 11,256 |
| Free Cash flow      | 3,636  | 1,260 | 1,037  | 6,010  | 8,763  |
| EPS (Rs)            | 33.0   | 9.5   | 7.8    | 12.4   | 14.1   |
| growth (%)          | 96%    | -71%  | -18%   | 59%    | 14%    |
| P/E (x)             | 101    | 280   | 109    | 69     | 60     |
| EV/EBITDA (x)       | 73     | 270   | 80     | 50     | 44     |
| ROCE (%)            | 45.2   | 9.1   | 30.1   | 38.8   | 36.2   |
| RoE (%)             | 44.1   | 13.7  | 32.0   | 35.9   | 33.1   |
| Dividend yield (%)  | 0.4    | 0.2   | 0.3    | 0.6    | 0.7    |

Source: Company

|                     |            |            |
|---------------------|------------|------------|
| Rating              | TP (Rs)    | Up/Dn (%)  |
| <b>Book Profits</b> | <b>701</b> | <b>-18</b> |

#### Market data

|                      |           |            |
|----------------------|-----------|------------|
| Current price        | Rs        | 850        |
| Market Cap (Rs.Bn)   | (Rs Bn)   | 680        |
| Market Cap (US\$ Mn) | (US\$ Mn) | 9,097      |
| Face Value           | Rs        | 2          |
| 52 Weeks High/Low    | Rs        | 1,279/ 308 |
| Average Daily Volume | ('000)    | 4,242      |
| BSE Code             |           | 542830     |
| Bloomberg            |           | IRCTC.IN   |
| Source: Bloomberg    |           |            |

#### One Year Performance



Source: Bloomberg

| % Shareholding | Dec-21     | Sep-21     |
|----------------|------------|------------|
| Promoters      | 67.40      | 67.40      |
| Public         | 32.60      | 32.60      |
| <b>Total</b>   | <b>100</b> | <b>100</b> |

Source: BSE

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*Shares split in the ratio of 1:5 and Face Value reduced from INR 10 to INR 2 on 29<sup>th</sup> October 2021. Therefore, FY22e and FY23e EPS and other numbers are post-split in nature whereas numbers in FY21 and before are pre-split in nature.*

## Conference Call Key Highlights

- Internet Ticketing: Booked 4.38 Cr tickets in Oct, 4.18 Cr in Nov and 4.02 Cr in Dec and 3.41 Cr in January
- As a % of total tickets booked 2S Class stood at 38.6%, Sleeper Class at 38.1%, 2<sup>nd</sup> AC, 3<sup>rd</sup> AC and AC Chair Car at 22%
- 9MFY22 Internet Ticketing revenue stood at INR 728 out of which INR 499 Cr was from Convenience fee income and non-convenience based income stood at INR 229 Cr (126 cr in H1). Out of INR 229 Cr, Marketing revenue stood at INR 56 Cr and Other Revenue (Payment Gateway, wallet, etc.) stood at 172 Cr. Therefore, 25% of non-convenience fee income was from marketing revenue and 75% from others
- Rail Neer: Sold 5.5 lacs bottles per day and capacity stands at 14.8 lacs per day. Capacity Utilisation stood at 45% during Q3FY22
- INR 1821 Cr of Cash and Cash Balance
- Tourism started in October and Omicron struck in December therefore many cancellations occurred. Bookings are done in 6 months in advance and if cancellations happen, recovery in bookings comes with a 1 to 2 month lag. Therefore, expect this segment to pick up from beginning of FY23 only.
- Decision to offer cooked food came in last week of November and tender to trains was given from 1<sup>st</sup> December. Out of 441 trains with pantry cars, cooked food is being offered in 428 trains, 13 are still on Ready to Eat food and Train Side Vending in more than 700 trains. Out of total 417 trains with pantry cars where tender was to be awarded, 44 trains were restored whereas 20 trains could not be restored due to low or no bid
- Increment of Licensing Fees will be done after sales assessment by IRCTC which should be executed over the next few months depending on peak and lean period. Therefore, visible benefit of increased Licensing fees should come from FY23 onwards
- 2S ticket booking continues to remain under IRCTC. So far no decision from MoR to withdraw it.
- IRCTC provided for reservations for 3000 trains in October, 5997 in November, 4500 in December and 4051 in January

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## Valuation & Outlook

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At CMP of INR 850, IRCTC is trading at 69x / 61x FY23e / FY24e EPS. Q3FY22 saw a broad-based pick-up in activity for IRCTC which was disrupted by Omicron towards the end of December. Q4FY22 will see the full impact of Omicron for approximately 1.5 months and recovery will take another 1.5 months as per management.

Having said that, one can expect FY23e to be the bounce-back year as fears of COVID recede due to milder impact with each consecutive wave and faster recovery. Internet Ticketing has been reporting a stellar performance over the last few quarters and one can expect other segments to follow suite as economy normalizes. Catering revenues, specifically, should benefit from higher Licensing Fees expected from beginning of FY23.

However, we believe that the upside is capped due to significant regulatory risk (as witnessed on 28<sup>th</sup> October 2021) and its overhang on the stock. Therefore, premium valuations are not justifiable and in our view, should be reduced.

**We recommend to Book Profits in the stock as we rollover our estimates to FY24 and reduce our target multiple to 50x forward to arrive at target price of INR 701 (from INR 943 earlier).**

# Financials

| Profit & Loss Statement       |       |      |       |       |       | Balance Sheet (Consolidated)     |        |        |        |        |        |
|-------------------------------|-------|------|-------|-------|-------|----------------------------------|--------|--------|--------|--------|--------|
| YE March (Rs. mn)             | FY20  | FY21 | FY22E | FY23E | FY24E | YE March (Rs. mn)                | FY20   | FY21   | FY22E  | FY23E  | FY24E  |
| Net Sales                     | 22755 | 7831 | 15693 | 29493 | 34453 | <b>Liabilities</b>               |        |        |        |        |        |
| % Growth                      | 22%   | -66% | 100%  | 88%   | 17%   | Equity Capital                   | 1,600  | 1,600  | 8,000  | 8,000  | 8,000  |
| <b>Operating Expenses</b>     |       |      |       |       |       | Reserves & Surplus               | 11,678 | 12,777 | 16,649 | 22,591 | 29,344 |
| Total Operating Expenses      | 15621 | 5915 | 7426  | 16438 | 19650 | <b>Equity</b>                    | 13,278 | 14,377 | 24,649 | 30,591 | 37,344 |
| EBITDA                        | 7134  | 1915 | 8267  | 13056 | 14803 | <b>Net Worth</b>                 | 13,278 | 14,377 | 24,649 | 30,591 | 37,344 |
| Growth (%)                    | 87%   | -73% | 332%  | 58%   | 13%   | Others                           | 801    | 812    | 546    | 1,025  | 1,198  |
| EBITDA Margin (%)             | 31%   | 24%  | 53%   | 44%   | 43%   | <b>Capital Employed</b>          | 14,886 | 15,996 | 26,002 | 32,423 | 39,349 |
| Less: Depreciation            | 399   | 463  | 446   | 463   | 551   |                                  |        |        |        |        |        |
| EBIT                          | 6735  | 1452 | 7821  | 12592 | 14252 | <b>Assets</b>                    |        |        |        |        |        |
| Growth (%)                    | 91%   | -78% | 438%  | 61%   | 13%   | Gross Block                      | 3,337  | 3,978  | 4,278  | 5,028  | 5,778  |
| EBIT Margin (%)               | 30%   | 19%  | 50%   | 43%   | 41%   | Less: Depreciation               | 1,779  | 2,241  | 2,688  | 3,151  | 3,702  |
| Interest Paid                 | 73    | 81   | 103   | 103   | 103   | <b>Net Block</b>                 | 1,559  | 1,737  | 1,591  | 1,877  | 2,076  |
| Other Income                  | 781   | 856  | 650   | 1475  | 1723  | Capital WIP                      | 162    | 243    | 197    | 371    | 434    |
| Extra-ordinary Income/(Expens | 11    | 382  | 0     | 0     | 0     | <b>Current Assets</b>            |        |        |        |        |        |
| PBT                           | 7454  | 2609 | 8369  | 13964 | 15872 | Inventories                      | 98     | 65     | 41     | 90     | 108    |
| Tax Expenses                  | 2168  | 710  | 2124  | 4061  | 4616  | Sundry Debtors                   | 7,779  | 5,400  | 5,159  | 10,504 | 12,743 |
| Net Profit                    | 5286  | 1899 | 6245  | 9903  | 11256 | <b>Total Current Assets</b>      | 28,626 | 27,193 | 29,858 | 43,042 | 52,468 |
| Adjust PAT                    | 5275  | 1517 | 6245  | 9903  | 11256 |                                  |        |        |        |        |        |
| Growth (%)                    | 96%   | -71% | 312%  | 59%   | 14%   | <b>Less: Current Liabilities</b> |        |        |        |        |        |
| APAT Margin (%)               | 23%   | 19%  | 40%   | 34%   | 33%   | Sundry Creditors                 | 1,705  | 1,799  | 895    | 2,117  | 2,530  |
| EPS                           | 33    | 12   | 8     | 12    | 14.1  | <b>Total Current Liabilities</b> | 17,669 | 15,374 | 7,585  | 15,519 | 18,535 |
| Growth (%)                    | 73%   | -64% | -34%  | 59%   | 14%   | <b>Capital Applied</b>           | 14,886 | 15,996 | 26,002 | 32,423 | 39,349 |
| AEPS                          | 33    | 9    | 7.8   | 12.4  | 14.1  |                                  |        |        |        |        |        |
| Growth (%)                    | 96%   | -71% | -18%  | 59%   | 14%   |                                  |        |        |        |        |        |

Shares split in the ratio of 1:5 and Face Value reduced from INR 10 to INR 2 on 29<sup>th</sup> October 2021. Therefore, FY22e and FY23e EPS and other numbers are post-split in nature whereas numbers in FY21 and before are pre-split in nature.

| Financial Ratio Analysis         |          |          |          |          |          | Cash Flows (Consolidated)                      |         |         |         |          |         |
|----------------------------------|----------|----------|----------|----------|----------|------------------------------------------------|---------|---------|---------|----------|---------|
| YE March (Rs. mn)                | FY20     | FY21     | FY22E    | FY23E    | FY24E    | YE March (Rs. Mn)                              | FY20    | FY21    | FY22E   | FY23E    | FY24E   |
| <b>Profitability Ratios</b>      |          |          |          |          |          | PAT                                            | 5,286   | 1,899   | 6,245   | 9,903    | 11,256  |
| ROE (%)                          | 44%      | 14%      | 32%      | 36%      | 33%      | Less: Non Operating Income                     | (781)   | (856)   | (650)   | (1,475)  | (1,723) |
| ROCE (%)                         | 45%      | 9%       | 30%      | 39%      | 36%      | Add: Depreciation                              | 399     | 463     | 446     | 463      | 551     |
| ROA (%)                          | 17%      | 6%       | 19%      | 21%      | 20%      | <b>Operating Profit before WC Changes</b>      | 4,966   | 1,205   | 6,143   | 8,994    | 10,187  |
| <b>Financial Leverage Ratios</b> |          |          |          |          |          | (Inc)/Dec in Current Assets                    | (4,304) | 2,833   | 2,845   | (10,253) | (3,833) |
| Debt / Equity (x)                | 0.0x     | 0.0x     | 0.0x     | 0.0x     | 0.0x     | Inc/(Dec) in Current Liabilities               | 3,122   | (2,295) | (7,789) | 7,934    | 3,016   |
| Interest Coverage (x)            | 98x      | 23x      | 81x      | 127x     | 144x     | Changes in Inventory                           | (19)    | 32      | 25      | (49)     | (18)    |
| <b>Asset Turnover Ratios</b>     |          |          |          |          |          | <b>Net Cash Generated From Operations</b>      | 3,766   | 1,775   | 1,224   | 6,625    | 9,352   |
| Debtors (Days)                   | 109      | 307      | 123      | 97       | 123      | <b>Cash Flow from Investing Activities</b>     |         |         |         |          |         |
| Creditors (Days)                 | 62       | 164      | 88       | 57       | 67       | (Inc)/Dec in Fixed Assets                      | (487)   | (641)   | (300)   | (750)    | (750)   |
| Inventory (Days)                 | 2        | 5        | 3        | 1        | 2        | (Inc)/Dec in Capital Work In Progress          | 242     | (81)    | 46      | (174)    | (62)    |
| <b>Valuation Ratios</b>          |          |          |          |          |          | Add: Non Operating Income                      | 781     | 856     | 650     | 1,475    | 1,723   |
| Book Value (Rs.)                 | 83       | 90       | 31       | 38       | 47       | <b>Net Cash Flow from Investing Activities</b> | (366)   | 111     | 396     | 551      | 910     |
| P/E (x)                          | 101      | 280      | 109      | 69       | 60       | <b>Cash Flow from Financing Activities</b>     |         |         |         |          |         |
| P/BV (x)                         | 40       | 37       | 28       | 22       | 18       | Dividend Paid                                  | (2,000) | (800)   | (2,373) | (3,961)  | (4,502) |
| EV/EBITDA (x)                    | 73       | 270      | 80       | 50       | 44       | <b>Net Cash Flow from Financing Activities</b> | (1,799) | (488)   | 3,658   | (3,584)  | (4,432) |
| Market Cap. / Sales (x)          | 23       | 68       | 43       | 23       | 20       | <b>Net Inc/Dec in cash equivalents</b>         | 1,601   | 1,397   | 5,278   | 3,592    | 5,830   |
| Net Cash / Mkt Cap (%)           | 2%       | 3%       | 3%       | 3%       | 4%       | <b>Opening Balance</b>                         | 11,400  | 13,117  | 14,548  | 20,083   | 22,964  |
| Dividend Yield (%)               | 0%       | 0%       | 0%       | 1%       | 1%       | <b>Closing Cash and Cash Equivalents</b>       | 13,001  | 14,514  | 19,826  | 23,676   | 28,795  |
| Dividend Per Share               | 13       | 5        | 3        | 5        | 6        |                                                |         |         |         |          |         |
| EV                               | 518883   | 517452   | 659917   | 657036   | 651461   | <b>Free Cash Flow Statement</b>                |         |         |         |          |         |
| Market Cap                       | 5,32,000 | 5,32,000 | 6,80,000 | 6,80,000 | 6,80,000 | Y/E Mar (Rs mn)                                | FY20    | FY21    | FY22E   | FY23E    | FY24E   |
| Net Cash                         | 13120    | 14551    | 20086    | 22967    | 28542    | EBITDA                                         | 7,134   | 1,915   | 8,267   | 13,056   | 14,803  |
| Net Debt                         | -13117   | -14548   | -20083   | -22964   | -28539   | FC Investment                                  | 245     | 641     | 300     | 750      | 750     |
| Dividend Payout Ratio (%)        | 38%      | 42%      | 38%      | 40%      | 40%      | WC Changes                                     | -1,200  | 570     | -4,920  | -2,369   | -835    |
|                                  |          |          |          |          |          | Depreciation Tax Shield                        | 116     | 126     | 113     | 135      | 160     |
|                                  |          |          |          |          |          | Tax Expenses                                   | 2,168   | 710     | 2,124   | 4,061    | 4,616   |
|                                  |          |          |          |          |          | FCF                                            | 3,636   | 1,260   | 1,037   | 6,010    | 8,763   |

Source: Dalal & Broacha Research, Company

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